The company operated two shipyards, the main one on the banks of the Tapi river in Magdalla, Surat, and spread over 35 acres. The other one was in Dahej, Bharuch, and was set up in collaboration with the Gujarat Maritime Board. It had plans to build a third shipyard in Gujarat with an investment of Rs 2,500 crore. Things went well for ABG Shipyard until the end of 2012-13. That year, the company made a net profit of Rs 107 crore on total revenues of Rs 2,149 crore. The company had three subsidiaries—Western India Shipyard (then a BSE-listed company), ABG Shipyard Singapore Pte, and ABG FPSO Private Limited. But ABG Shipyard's fall started the following year when it posted a loss of Rs 199 crore. By March 2016, the losses had ballooned to Rs 3,704 crore even as revenues fell to a mere Rs 37 crore.

The cancellation of ship/ vessel orders, a dip in lending from banks, high cost of borrowing and low capacity utilisation at the Dahej shipyard were cited as reasons for the firm's troubles. The end of the central government's shipbuilding subsidy way back in 2007 had also hit the company's bottomline over the years. Eventually, ABG Shipyard owed Rs 22,842 crore to 28 banks. The top three lenders were ICICI Bank (Rs 7,089 crore), IDBI Bank (Rs 3,639 crore) and SBI (Rs 2,925 crore). Most of these loan disbursements took place between 2005 and 2012. Unable to service them, ABG Shipyard went into a corporate debt-restructuring scheme in 2013-14.

A scam unravelled

On August 25, 2020, Balaji Singh Samanta, a deputy general manager with the SBI in Mumbai, walked into the CBI office at Cuffe Parade. He was carrying a complaint from his bank, which stated that ABG Shipyard had intentionally caused a loss of Rs 22,842 crore to the ICICI Bank-led consortium of 28 banks. The SBI had made a similar complaint on November 8, 2019, but there had been no action as the CBI asked for some clarifications a few months later. The fresh complaint was again put in cold storage.

On February 7 this year, the CBI registered an FIR (first information report) against ABG Shipyard and its board of directors, led by Agarwal. The FIR states that the 'fraud' was committed through 'diversion of funds, misappropriation and criminal breach of trust, with an objective to gain unlawfully at the cost of the bank's funds'. The allegations place the ABG Shipyard case as India's biggest banking scam ever, overtaking the 2018 Punjab National Bank scam in which diamantaires Nirav Modi and Mehul Choksi stand accused of siphoning off Rs 14,000 crore.

The offence in the ABG Shipyard case has been registered almost a decade after the alleged fraud began and three years after "criminal breach of trust" was pinpointed by auditing firm Ernst & Young (EY). The CBI has yet to make arrests. The agency questioned Agarwal on February 17. A day earlier, the Enforcement Directorate (ED)

RISHI AGARWAL
THE RISE AND FALL



1985
Rishi Agarwal buys Magdala Shipyard in Gujarat for a reported Rs 8 lakh

2000
ABG Shipyard bags order to build two inceptor boats for Coast Guard

2009
Agarwal loses bid for control of offshore driller Great Offshore to Bharati Shipyard

2011
Receives licence to build ships, including submarines, for Indian defence sector

2013-14
The decline begins; company makes a loss of Rs 199 crore

March 2016
Losses balloon to Rs 3,704 crore; revenues fall to Rs 37 crore as new ship orders are cancelled

July 20, 2016
SBI says ABG Shipyard accounts turned NPA with effect from November 30, 2013

Jan. 18, 2019
EY submits forensic audit report of ABG Shipyard's bank account, detailing irregularities between April 2012 and July 2017

June 6, 2019
SBI's fraud identification committee submits report declaring ABG Shipyard accounts as fraud

Nov. 8, 2019
SBI complains to CBI against ABG Shipyard, alleging criminal conspiracy causing wrongful loss of Rs 22,842 crore to a consortium of banks

Mar. 12, 2020
CBI seeks clarifications and makes observations pertaining to weak evidence to corroborate the allegations against Agarwal and his company

Jun. 4-Aug. 13, 2020
SBI seeks consent from other banks of the consortium to file a complaint against ABG Shipyard

Aug. 25, 2020
SBI files another complaint against ABG Shipyard

Feb. 7, 2022
CBI files FIR against ABG Shipyard and its board of directors

Feb. 17, 2022
CBI questions Rishi Agarwal